

INSURANCE AND PENSIONS COMMISSION



THIRD QUARTER REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2013

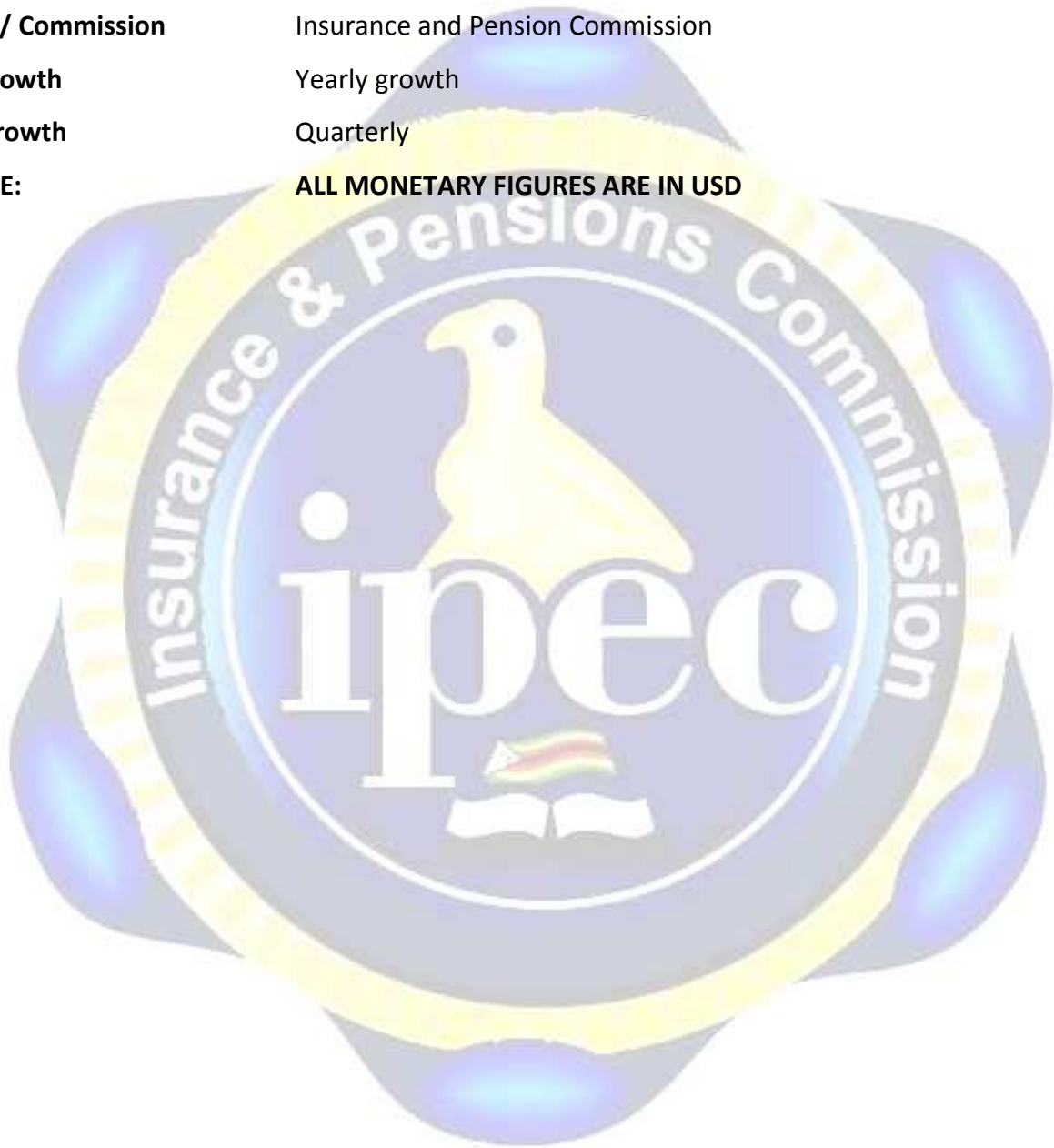
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is based on 9 players. Nyaradzo and Fidelity Funeral Companies are now life assurance companies. Their previous financial statistics have been transferred out accordingly for comparative parity of this current report with corresponding review periods.

Funeral companies wrote gross premiums amounting to \$24million, a 46% growth from figures reported in same period last year. On the other hand costs grew by 70%, a red flag for the need to spread risks via reinsurance and cost optimization. The industry realized \$5million in technical profit, a 7% down turn from the corresponding period last year.

Total assets grew by 25% to \$38million from \$30million reported last year. In contrast, liabilities grew by 38% to \$16million. The capital to liability (solvency) ratio was 124% implying adequacy to cover existing liability (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Financial Aspect	Jun 13	Sept 12	Sep 2013	Annual Growth	Quarterly Growth
Gross Premiums Written(\$000)	16,098	16,175	23,649	46%	47%
Net Premiums Written (\$000)	16,098	16,175	23,642	46%	47%
Retention Ratio	100%	100%	100%	0%	0
Total Gross Claims (\$000)	2,990	3,295	4,671	42%	56%
Total Net Claims (\$000)	2,990	3,295	4,671	42%	56%
Management Expenses (\$000)	8,180	6,312	12,240	94%	50%
Commissions (\$000)	1,413	1,518	2,046	35%	45%
Total Costs(\$000)	12,583	11,125	18,957	70%	51%
Technical Profit	3,515	5,050	4,685	(7%)	33%
Expense Ratio (%)	60%	48%	60%	12%	-
Combined Ratio	78%	69%	80%	11%	2%
Total Assets (\$000)	35,885	30,216	37,635	25%	5%
Total Liabilities (\$000)	6,593	11,520	15,945	38%	142%
Free Capital(\$000)	29,292	18,696	21,689	16%	(26%)
Capital to liability Ratio	444%	162%	134%	(28%)	(310%)
Prescribed Assets (\$000)	129	204	31	0%	(76%)
Prescribed Asset Ratio (%)	0%	1%	0%	0%	0%

4.0 Update on Number of Operational Institutions

This report is based on 9 players. Nyaradzo Funeral Assurance Company and Fidelity Funeral Assurance company are now trading in life assurance underwriting as highlighted earlier.

5.0 Business Written

The remaining nine funeral companies cumulatively wrote \$24million for the period under review, a 46% growth from the comparative period the previous year (See Table 2 and Figure 1 below).

Table 2: Premium Distribution by Company for the quarter ended 30 September 2013 (\$'000)

Company	Jun-13	Sep-13	(%)	Sep-12	Annual Growth
Cell	682	1,234	81%	979	26%
Doves	3,275	5,043	54%	3,391	49%
First Funeral	3,449	4,956	44%	3,428	45%
Foundation	234	700	199%	184	280%
Moonlight	6,941	10,137	46%	6,949	46%
Passion	579	554	(4%)	442	25%
Ruvimbo	225	328	46%	246	33%
Sunset	61	67	10%	50	34%
Vineyard	426	623	46%	506	23%
Total	15,872	23,642	49%	16,175	46%

Figure 1: Market Share by Net Premium Written for the quarter ended 30 September 2013(\$000)

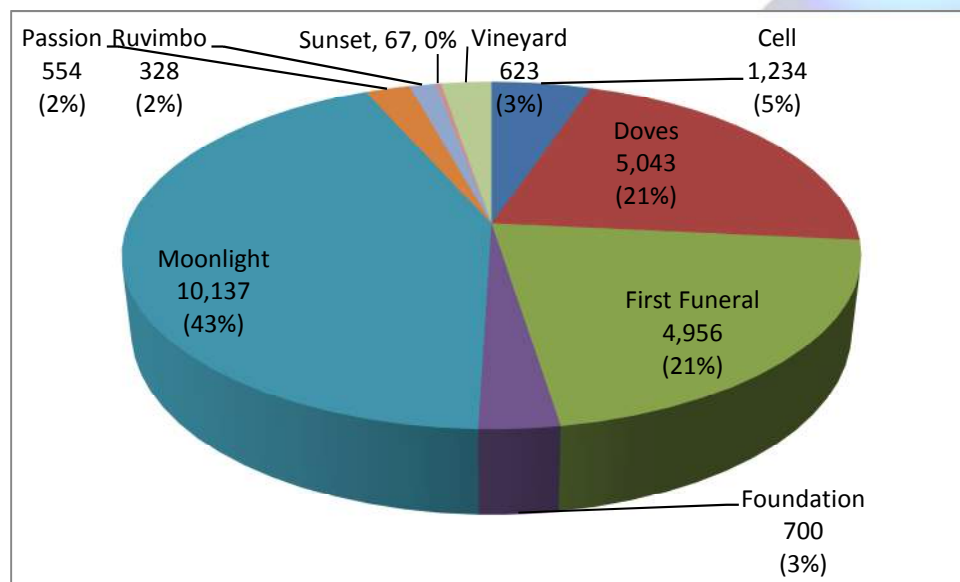


Figure 1 above illustrates that the big three companies controlled 85% of the business written. To guard against undesirable market misconduct, the Commission encourages competition by players to be mainly centered on innovation and service delivery.

6.0 Business Composition

For the year-to-date period ending 30 September 2013, recurring premiums made up 69% or \$16million of total gross premiums whilst the balance was made up of new business. This might be attributable to the current economic environment due to illiquidity challenges exacerbated by low disposable incomes. Players should innovative in coming up with new products and distribution in the wake of changing markets and risks(See Table 3 and Figure 2,below).

The industry reported an almost even portfolio balance for the period under review. This may reflect industry's efforts to manage concentration risk(See Figure 3, below).

Table 3: Business Composition by Company for the quarter ended 30 September 2013

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business Premiums			Recurring Premiums			New Business			Recurring Premiums					
	Sept 2012	Sep 2013	Growth	Sept 2012	Sep 2013	Growth (%)	Sept 2012	Sep 13	Growth	Sept 2012	Sep 2013	Growth	Sept 2012	Sep 2013	Growth
Cell	2	21	950%	114	40	(65%)	0	0	-	862	1,173	36%	978	1,234	26%
Doves	-	56	-	3,391	3,244	(4%)	-	-	-	-	1,743	-	3,391	5,043	49%
First Funeral	92	70	(24%)	3,336	4,886	46%	0	0	-	0	0	-	3,428	4,956	45%
Foundation	-	19	-	184	681	270%	-	0	-	-	0	-	184	700	280%
Moonlight	251	0	-	775	1,031	33%	214	7,093	3214%	5,960	2,013	(66%)	7,200	10,137	41%
Passion	2	35	1650%	35	101	189%	14	46	229%	392	372	(5%)	443	554	25%
Ruvimbo	-	-	-	246	328	33%	-	-	-	-	0	-	246	328	33%
Sunset	-	4	-	50	70	40%	-	0	-	-	0	-	50	74	48%
Vineyard	8	8	-	506	615	22%	-	-	-	-	0	-	514	623	21%
TOTAL	355	213	40%	8,637	10,996	27%	228	7,139	3031%	7,214	5,301	(27%)	16,434	23,649	44%

Figure 2: Gross Premium Composition for the quarter ended 30 September 2013(\$000)

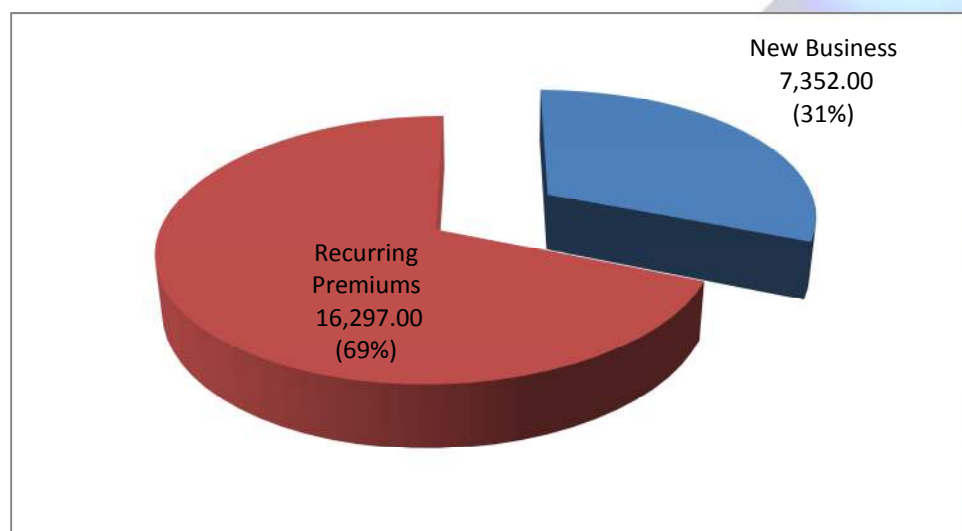
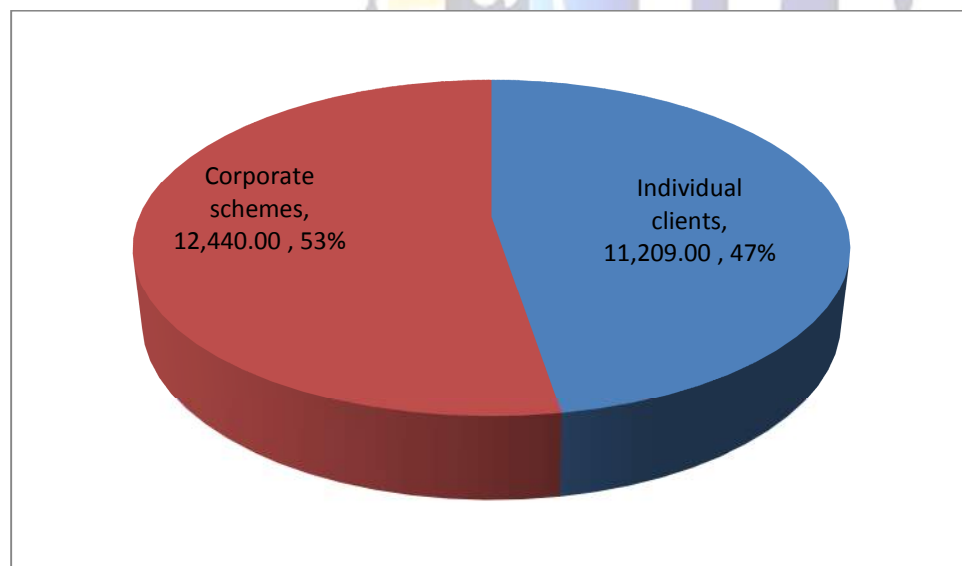


Figure 3: Gross Premium Composition by Class for the quarter ended 30 September 2013(\$000)



7.0 Not-taken Up policies and Lapsed Policies

For the quarter ended 30 September 2013, funeral assurers reported not-taken up policies amounting to \$57 000, a figure which is a negligible fraction of reported gross premiums.

Players also reported generally low lapse ratios. High ratios indicate possible cases of undesirable practices like mis-selling or switching (See Table 4, below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	3	27	0
Doves	0	0	0
First Funeral	39	1	0
Foundation	2	205	0
Moonlight	14	0	9
Passion	0	0	0
Ruvimbo	0	4	6
Sunset	0	0	0
Vineyard	0	7	0
Total	57	n/a	n/a

8.0 Claims Aged Analysis

Funeral companies reported outstanding claims amounting to \$42,000, 81% of which were current, reflecting prompt claim settlement which promotes the much-needed public and other stakeholders' confidence in the sector (See Table 5 below).

Table5:Claims Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	27	0	4	0	1	2	0	8	0	42
31-60days(000)	0	0	5	0	0	0	0	2	0	7
61-90days (000)	0	0	3	0	0	0	0	0	0	3
91-120days (000)	0	0	0	0	0	0	0	0	0	-
<121 days (000)	0	0	0	0	0	0	0	0	0	-
Reinsurance (000)	0	0	0	0	0	0	0	0	0	-
Total	27	0	12	0	1	2	0	10	0	52

9.0 Debtor Aged Analysis

For the current review period, players reported outstanding debtors of \$1 million or 6% of gross written premiums reflecting a 94% collection rate. High premium collection rates reduce liquidity risk on the part of players(See Table 6,below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	7	6	0	3	193	167	7	0	71	454
31-60days(000)	7	24	0	2	47	142	3	0	56	281
61-90days (000)	8	5	146	2	16	118	2	0	23	320
91-120days (000)	4	0	0	1	6	98	3	0	27	139
<121 days (000)	9	0	0	8	4	93	2	0	32	147
Total (000)	35	35	146	16	267	617	17	0	209	1,341

10.0 Earnings

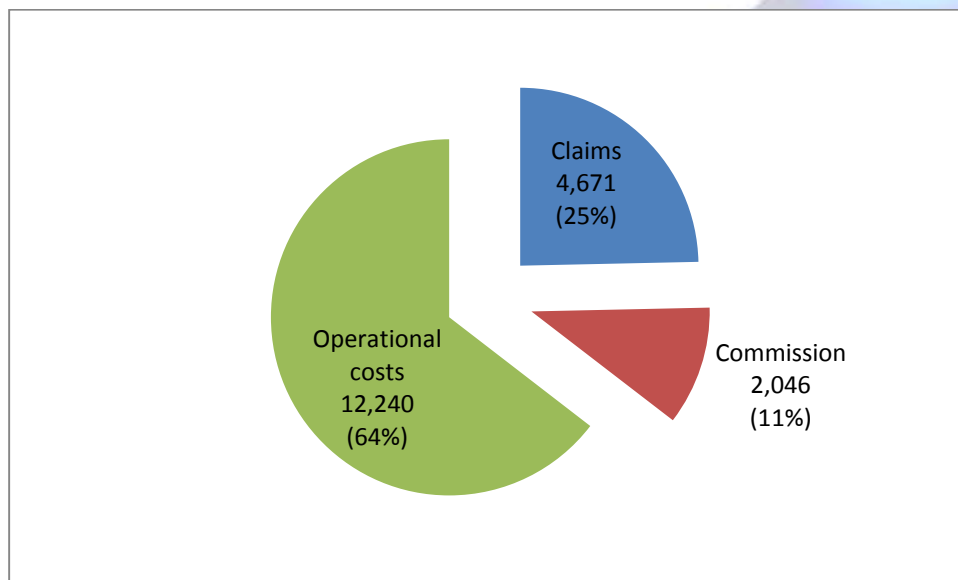
The cost to income figures and ratios for the current review period in respect of the funeral assurance industry was reported as shown in Table 7 below.

Table 7: Key Earnings Indicators By Company for the Quarter ended 30 September 2013(\$000)

Co. Name	NPW(000)		Claims (000)		Commissions(000)			Management Expenses(000)			Total Costs(000)					Combined Ratio		
	Sept 13	Sept 12	Sep-13	Growth	Sept 12	Sep 13	Growth	Sept 12	Sep-13	Growth	Jun-13	Sep-12	Sep-13	Q-Growth	Y-Y Growth	Sep-12	Jun-13	Sep-13
Cell	1,234	22	27	23%	3	9	200%	695	676	(3%)	459	720	712	55%	(1%)	74%	46%	58%
Doves	5,043	1,177	1,566	58%	220	294	34%	779	1,474	89%	2,095	2,176	3,334	59%	53%	64%	53%	66%
F.Funeral	4,956	991	1,508	33%	371	832	124%	1,310	1,480	13%	2,518	2,672	3,820	52%	43%	78%	75%	77%
Foundation	700	31	100	223%	21	69	229%	176	481	173%	209	228	650	211%	185%	124%	89%	93%
Moonlight	10,137	841	1,153	37%	828	772	(7%)	2,729	7,448	173%	7,425	4,398	9,373	26%	113%	63%	98%	92%
Passion	554	80	67	(16%)	0	17	-	152	140	(8%)	274	232	224	-18%	(3%)	52%	45%	40%
Ruvimbo	328	40	93	133%	10	6	(4 0%)	192	218	14%	217	242	317	46%	31%	98%	96%	97%
Sunset	67	3	1	(67%)	4	4	-	29	34	17%	33	36	39	18%	8	72%	54%	58%
Vineyard	623	110	156	42%	61	43	(30%)	250	289	16%	333	421	488	47%	16%	83%	78%	78%
Total	23,642	3,295	4,671	42%	1,518	2,046	35%	6,312	12,240	34%	13,563	11,125	18,957	40%	70%	78%	79%	80%

For the period under review, players reported the cost center distribution as administration {64%, September 2012:57%}, claims {25%, September 2012:30%} and commission {11%, September 2012:13%}. The industry's combined ratio was 80%. Cost rationalization continues to be a major success factor given the current depressed investment returns and constrained scope for new business (See Figure 4 below).

Figure 4: Cost Distribution By Company for the Quarter ended 30 September 2013(\$000)



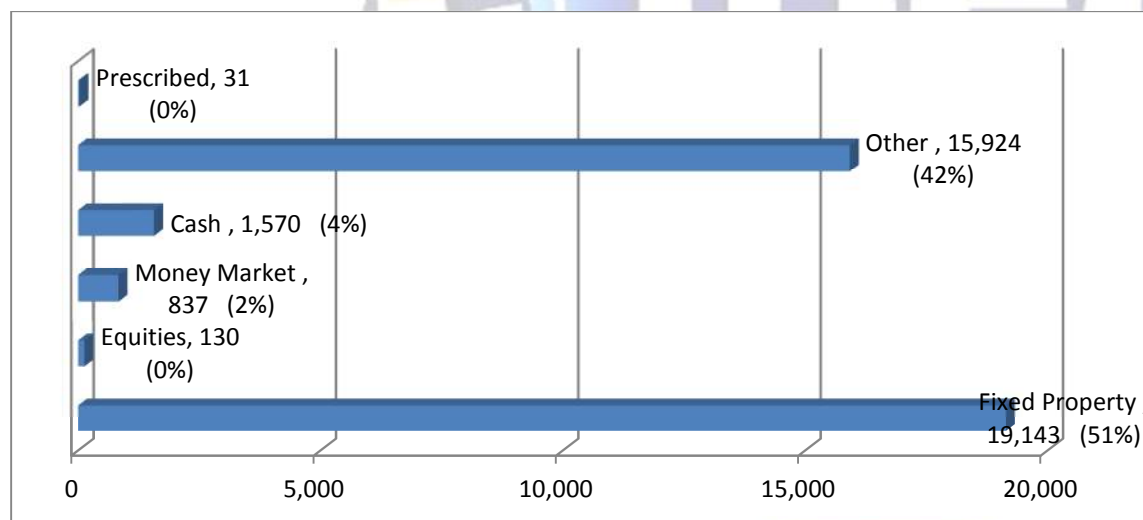
11. Asset Quality

For the current reporting period, the funeral assurance industry reported their asset portfolio as illustrated in Table 8 and Figure 5 below. Asset categories were in properties {51% or \$19million, June 2012:25%}, equities { below 1% or \$0.13million, June 2012:1%}, money market {2% or \$1million, June 2012:17%}, cash assets {4 % or \$2million, June 2012:6%} and other assets {42% or \$16million, June 2012:47%}.

Table 8: Funeral industry Asset bases as at 30 September 2013(\$000)

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)				
	Sept 12	Sep 13	%	Sept 12	Sep 13	%	Sept 12	Sep 13	%	Sept 12	Sep 13	%	Sept 12	Sep 13	%	Sept 12	Sep 13	%	Sept 12	Jun 13	Sep 13	Q-Var	Y-Var
Cell	241	229	5%	12	16	33%	526	675	28%	169	212	25%	-	300	-	51	0	5%	999	1,293	1,432	11%	43%
Doves	1,968	2,807	43%	57	101	77%	149	101	(32%)	197	121	(39%)	8,265	9,817	19%	18	10	0	10,654	12,142	12,957	7%	22%
F/Funeral	977	1,228	26%	0	11	-	0	0	-	31	16	(48%)	1,886	3,198	70%	135	10	21%	3,029	3,962	4,463	13%	47%
Foundation	1,062	1,170	10%	0	0	-	96	30	(69%)	259	46	(82%)	-	449	-	-	10	0	1,417	1,706	1,705	-	20%
Moonlight	6,887	11,108	61%	0	0	-	10	0	-	60	1,057	1562%	3,255	-	-	-	0	0	10,212	12,083	12,165	1%	19%
Passion	209	300	44%	0	0	-	0	0	-	26	67	158%	538	755	40%	-	0	0	773	1,163	1,122	(4%)	45%
Ruvimbo	961	703	37%	0	0	-	288	0	-	2	-	-	10	960	860%	-	0	0	1,261	1,665	1,663	-	32%
Sunset	1,044	983	(6%)	0	0	-	0	0	-	9	8	(13%)	-	70	-	-	0	0	1,053	1,055	1,061	1%	1%
Vineyard	519	615	18%	3	2	(33%)	28	31	11%	26	43	65%	242	375	55%	-	1	-	818	816	1,066	31%	30%
Total	13,868	19,143	38%	72	130	71%	1,097	837	(33%)	779	1,570	(29%)	14,196	15,924	(91%)	186	31	0	30,198	70,103	37,635	(47%)	25%

Figure 5: Funeral industry Asset bases as at 30 September 2013 (\$000)



11.1 Prescribed Assets

The funeral industry's uptake was 1%. Players are however required to participate fully as availability of government paper improves to avoid statutory penalties(See Table 8 and 9).

Table 9: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:\$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:\$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills:\$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

12.Capitalization and Solvency Interim Estimates

For the period under review the majority of funeral assurers were adequately capitalized in excess of \$750 000 as prescribed by Statutory Instrument 21 of 2013.Engagements are on-going with the undercapitalized player to restore normalcy.

Emerging international best practices particularly Solvency II prescribes capital levels which are directly proportional to liabilities. Reported figures reflected that funeral companies had combined capital to liability ratio of 134% indicating that the former exceeds the latter by 1.34times which is considered as safe (See Table 10 below).

Table 10: Levels of Capitalization and Solvency Estimates for the Quarter ended 30 September 2013(\$000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Current Assets	995	3,849	3,080	406	1,057	635	311	54	407	10,794
Total Assets(\$000)	1,432	12,957	4,463	1,705	12,165	1,122	1,663	1,061	1,066	37,634
Total liabilities(\$000)	669	1,438	644	1,237	10,618	326	522	213	278	15,945
Current Liabilities	669	1,085	227	301	5,144	5,469	349	103	352	13,699
Capital (Net Assets) (\$000)	763	11,519	3,819	468	1,547	796	1,141	848	788	21,689
Net Premium Written	1,234	5,043	4,956	700	10,137	554	328	67	623	23,642
Capital to Liability Ratio	114%	801%	593%	38%	15%	244%	219%	398%	283%	134%
Current Ratio	149%	355%	1357%	135%	21%	12%	89%	52%	116%	79%
Capital to Net Premium Ratio	62%	228%	77%	67%	15%	144%	348%	1266%	126%	90%

7.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 30 September 2013

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No.6 of 2013	Insurance and Housing Pension Fund	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

Conclusion

The Commission recommends players to embrace the suggested measures in order to effectively address prudential or risk management issues.

